REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

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CIRCULAR

No. : 2024-006
Date : MAR 14 2024

TO : All Local Chief Executives; Accountants/Heads of Accounting Division/Unit; Local Treasurers; Budget Officers; Heads of Supply and/or Property Division/Unit; Commission on Audit (COA) Assistant Commissioners, Directors, Auditors; and All Others Concerned

SUBJECT : Supplemental Guidelines on the Implementation by Local Government Units (LGUs) of COA Circular No. 2022-004 dated May 31, 2022, Prescribing the Guidelines on the Implementation of Section 23 of the General Provisions of Republic Act (RA) No. 11639 also known as the General Appropriations Act (GAA) for Fiscal Year (FY) 2022 relative to the increase in the capitalization threshold from ₱15,000.00 to ₱50,000.00

1.0 RATIONALE

COA Circular No. 2022-004 directs the national government agencies, LGUs and government corporations to adopt and implement the policy on the increase of capitalization threshold of property, plant and equipment (PPE) from ₱15,000.00 to ₱50,000.00.

However, the policy on the ₱15,000.00 capitalization threshold and the appropriate accounts to be used for the implementation of the said policy were not included in various COA issuances prescribing the accounting rules and regulations for LGUs, such as COA Circular No. 2002-003[1] dated June 20, 2002, COA Circular No. 2005-002[2] dated April 14, 2005, and COA Circular No. 2015-009[3] dated December 1, 2015. Thus, there is a need to provide supplementary guidelines which prescribe the implementation of the current policy on capitalization threshold, the recognition of the semi-expendable property, and the appropriate accounts and forms to be used by the LGUs.

2.0 COVERAGE

This Circular shall be implemented by all LGUs.

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[1] Prescribing the Manual on the New Government Accounting System (Manual Version) For Use of Local Government Units.
[2] Accounting Policy on Items with Serviceable Life of More Than One Year but Small Enough to be considered as Property, Plant and Equipment.
[3] Prescribing the Revised Chart of Accounts for Local Government Units.

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3.0 IMPLEMENTING GUIDELINES

3.1 Tangible items with a cost of Fifty Thousand Pesos (₱50,000.00) and above and have met the following criteria shall be recognized as PPE:

3.1.1 It is probable that the future economic benefits or service potential associated with the item will flow to the entity;

3.1.2 The cost or fair value of the item can be measured reliably;

3.1.3 Beneficial ownership and control clearly rest with the government; and

3.1.4 The asset is used to achieve government objectives.

3.2 In lieu of Acknowledgment Receipt for Equipment (ARE),[4] Property Acknowledgment Receipt (PAR) *(Annex A.1)* shall be used to record the issuance of PPE to the end-user for all PPE acquisitions for calendar year (CY) 2024 onwards.

3.3 Tangible items which meet the definition and recognition criteria of PPE but with cost below Fifty Thousand Pesos (₱50,000.00) shall be accounted in the books of accounts of the LGUs as inventory under the appropriate semi-expendable property account upon purchase and shall be recognized as expense upon issuance to the end-user.

3.4 Inventory Custodian Slip (ICS)[5] shall be issued to the end-user of semi-expendable property to establish accountability over such item.

3.5 The setting of capitalization threshold of ₱50,000.00 shall be considered as a change in accounting policy and shall be applied retrospectively. It means that the adoption of capitalization threshold of ₱50,000.00 shall be applied for all tangible items acquired in CY 2024 onwards and in the prior years.

3.6 For tangible items below ₱50,000.00 acquired prior to CY 2024 and previously classified as PPE, which are still in custody of the Supply and/or Property Division/Unit:

3.6.1 The cost of these items shall be reclassified to the appropriate semi-expendable property account under the major account group Inventories and the corresponding accumulated depreciation and accumulated impairment losses shall be closed in the books of accounts;

[4] COA Circular No. 2002-003 dated June 20, 2002, Volume II, Annex 34.
[5] COA Circular No. 2022-004 dated May 31, 2022, Annex A.3.

3.6.2 The Property Cards (PCs)[6] being maintained by the Supply and/or Property Division/Unit for these items shall be replaced by Semi-Expendable Property Cards (SPCs) *(Annex A.2)*; and

3.6.3 Likewise, the PPE Ledger Cards[7] being maintained by the Accounting Division/Unit for these items shall be replaced by Semi-Expendable Property Ledger Cards (SPLCs) *(Annex A.3)*.

3.7 For tangible items below ₱50,000.00 acquired and issued prior to CY 2024 and have been classified as PPE:

3.7.1 The carrying amount of the items shall be expensed/charged to Prior Period Adjustment and the corresponding accumulated depreciation and accumulated impairment losses shall be closed in the books of accounts; and

3.7.2 The existing AREs for these items shall be replaced by ICS, except for low-valued semi-expendable property[8] with expired estimated useful life wherein the existing ARE shall be automatically cancelled.

3.8 The following forms shall be used for items previously classified as inventories but qualify as semi-expendable property in accordance with the account description under Annex B – New Accounts to be Used of this Circular, and are still in custody of the Supply and/or Property Division/Unit:

3.8.1 For prior years' acquisitions:

a. The Stock Cards (SCs)[9] being maintained by the Supply and/or Property Division/Unit for these items shall serve as SPCs until these items are issued, provided that the estimated useful life of the items is to be indicated in the SCs; and

b. The Supplies Ledger Cards (SLCs)[10] being maintained by the Accounting Division/Unit for these items shall serve as SPLCs until these items are issued, provided that the estimated useful life of the items is to be indicated in the SLCs.

3.8.2 For CY 2024 acquisitions:

a. The SPCs shall be used for these items by the Supply and/or Property Division/Unit; and

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[6] COA Circular No. 2002-003 dated June 20, 2002, Annex 37.
[7] *Ibid*, Annex 9.
[8] This pertains to semi-expendable property with cost of ₱5,000.00 or less per item. (Item 4.8.a of COA Circular No. 2022-004)
[9] COA Circular No. 2002-003 dated June 20, 2002, Annex 36.
[10] *Ibid*, Annex 7.

b. The SPLCs shall be used for these items by the Accounting Division/Unit.

3.9 For loss of low-valued semi-expendable property before the expiration of its estimated useful life, the existing policies and guidelines on loss of government property shall apply.

3.10 All other policies set forth under COA Circular No. 2022-004 shall be applied by the LGUs as applicable.

4.0 NEW ACCOUNTS TO BE USED

The new accounts provided in Annex B shall be used in the implementation of this Circular.

5.0 ILLUSTRATIVE ACCOUNTING ENTRIES

The illustrative accounting entries for the implementation of the policy on semi-expendable property are shown in Annex C.

6.0 SAVING CLAUSE

Any clarification or request for assistance on the implementation of this Circular or cases not covered herein shall be referred to this Commission, through the Government Accountancy Sector, for resolution.

7.0 REPEALING CLAUSE

All circulars, memoranda and other issuances or parts thereof which are inconsistent with the provisions of this Circular are hereby rescinded, repealed or modified accordingly.

8.0 EFFECTIVITY

This Circular shall take effect after 15 days from publication in a newspaper of general circulation.

GAMALIEL A. CORDOBA
Chairperson

ROLAND CAFÉ PONDOC
Commissioner

MARIO G. LIPANA
Commissioner

Annex A.1

PROPERTY ACKNOWLEDGMENT RECEIPT

LGU : ______________________________

Fund : ___________________________ **PAR No.:** _______________

Quantity	Unit	Description	Property Number	Date Acquired	Amount

Received by:	**Issued by:**
______________________________	______________________________
Signature over Printed Name of End User	Signature over Printed Name of Supply and/or Property Custodian
______________________________	______________________________
Position/Office	Position/Office
______________	______________
Date	Date

Annex A.1

PROPERTY ACKNOWLEDGMENT RECEIPT (PAR)

INSTRUCTIONS

A. The PAR shall be used in the Supply and/or Property Division/Unit to record the issuance of movable PPE to end-user. It shall be maintained by fund. It shall be renewed every three years or every time there is a change in custodianship/user of the property.

B. This form shall be accomplished as follows:

1. **LGU** – name of the Province/City/Municipality
2. **Fund** – the fund name in accordance with the law that created the fund and/or as assigned by the Province/City/Municipality
3. **PAR No.** – number assigned by the Supply and/or Property Custodian for control purposes which shall be as follows:

   0000-00-0000

   - 0000 (last group) → Serial number (one series per year)
   - 00 → Month
   - 0000 (first group) → Year

4. **Quantity** – number of unit/s issued to the employee or user of the property
5. **Unit** – unit of measurement such as piece, set, etc.
6. **Description** – brief description or details of the property including serial number, if any
7. **Property Number** – number assigned by the Supply and/or Property Division/Unit to the property issued
8. **Date Acquired** – acquisition date of the property
9. **Amount** – acquisition cost of the property

C. The PAR shall be prepared in two copies distributed as follows:

Original	–	Supply and/or Property Division/Unit for file
Copy 2	–	Recipient or user of the property

D. The recipient or end user of the property shall acknowledge receipt of the property by signing the "Received by" portion and indicate the date of receipt of the property. The designated Supply and/or Property Custodian shall sign the "Issued by" portion and indicate the date of issuance of the property.

Annex A.2

SEMI-EXPENDABLE PROPERTY CARD

LGU: ______________________________________ **Fund:** ____________________

Semi-expendable Property : ____________________________ **Semi-expendable Property Number:** _______________

Description : ____ **Estimated Useful Life:** ___________

Date	Reference	Date of Expiration	Receipt				Issue/Transfer/ Disposal			Balance	Amount	Remarks
			Item No.	Qty.	Unit Cost	Total Cost	Item No.	Qty.	Office/Officer	Qty.		

Annex A.2

SEMI-EXPENDABLE PROPERTY CARD (SPC)

INSTRUCTIONS

A. The SPC shall be maintained in the Supply and/or Property Division/Unit for each class of semi-expendable property. The Supply and/or Property Custodian shall record promptly the description/information about the asset, acquisition (based on the Inspection and Acceptance Report and other supporting documents), and its issuance/transfer/disposal. It shall be maintained by fund.

B. This form shall be accomplished as follows:

1. **LGU** – name of the Province/City/Municipality
2. **Fund** – the fund name in accordance with the law that created the fund and/or as assigned by the Province/City/Municipality
3. **Semi-expendable Property** – type of semi-expendable property
4. **Description** – description of the semi-expendable property (i.e., brand, size, color, serial no., etc.)
5. **Semi-expendable Property No.** – number assigned by the Supply and/or Property Division/Unit to the semi-expendable property
6. **Estimated Useful Life** – estimated useful life of the item received
7. **Date** – date of acquisition/issue/transfer/disposal
8. **Reference** – number assigned to the reference document used as basis in recording the receipt, issue, transfer or disposal of semi-expendable property
9. **Date of Expiration** – date of expiration of the semi-expendable property consistent with its estimated useful life.
10. **Receipt-Item No.** – number assigned by the Supply and/or Property Division/Unit

    Example:

    24-01-01 to 100
    - 01 to 100 → Series/Quantity of item
    - 01 → Order of acquisition (order of acquisition shall be renewed every year)
    - 24 → Year of acquisition (last two digit of the year)

11. **Receipt-Qty./Unit Cost/Total Cost** – the quantity, unit cost and total cost of the semi-expendable property received
12. **Issue/Transfer/Disposal-Item No.** – item number of semi-expendable property issued to end-user, transferred or disposed, etc.

    Example:

    24-01-01
    - 01 → Number of item issued
    - 01 → Order of acquisition (order of acquisition shall be renewed every year)
    - 24 → Year of acquisition (last two digit of the year)

13. **Issue/Transfer/Disposal-Qty.** – quantity of semi-expendable property issued to end-user, transferred or disposed, etc.
14. **Issue/Transfer/Disposal-Office/Officer** – name of agency/entity and/or accountable person receiving the transferred or issued semi-expendable property
15. **Balance-Qty.** – difference between the quantity of the semi-expendable property on hand less the issued, transferred, or disposed item/s, if any
16. **Amount** – amount of semi-expendable property received based on source documents
17. **Remarks** – important information, observation or comment about the semi-expendable property being received, issued, transferred or disposed

C. Transactions shall be posted from the source documents.

D. The Report on the Physical Count of Semi-expendable Property (RPCSP) shall be reconciled with the SPCs every year and any discrepancies should be immediately verified and adjusted if necessary.

SEMI-EXPENDABLE PROPERTY LEDGER CARD

LGU: ______________________________ **Fund:** ____________________

Semi-expendable Property : ____________________ **Semi-expendable Property No. :** ________________
Description : ______________________________ **Estimated Useful Life :** __________

Date	Reference	Receipt			Issues/Transfers/ Adjustment/s	Adjusted Cost	Repair History	
		Qty.	Unit Cost	Total Cost			Nature of Repair	Amount

SEMI-EXPENDABLE PROPERTY LEDGER CARD (SPLC)

INSTRUCTIONS

A. The SPLC shall be kept in the Accounting Division/Unit for each class of semi-expendable property. The Accounting Staff in charge in maintaining the SPLC shall record promptly the acquisition, description, custody, impairment, issue/transfers/disposal, repair history, and other information about the property. It shall be maintained by fund.

B. This ledger shall be accomplished as follows:

1. **LGU** – name of the Province/City/Municipality
2. **Fund** – the fund name in accordance with the law that created the fund and/or as assigned by the Province/City/Municipality
3. **Semi-expendable Property** – type of semi-expendable property
4. **Description** – description of the semi-expendable property (i.e. brand, size, color, etc.)
5. **Semi-expendable Property No.** – number assigned by the Supply and/or Property Division/Unit to the semi-expendable property
6. **Estimated Useful Life** – estimated useful life of semi-expendable property
7. **Date** – date of the source/reference document
8. **Reference** – reference documents used as the bases in recording the transactions such as Journal Entry Voucher (JEV)
9. **Receipt-Qty./Unit Cost/Total Cost** – the quantity, unit cost and total cost of the semi-expendable property received
10. **Issues/Transfers/Adjustment/s** – the cost of the semi-expendable property issued to end-user, transferred to other government agency/ies, disposed, or the amount of adjustment/s made through JEV
11. **Adjusted Cost** – the difference between the total cost of the asset less issues/transfers/adjustments, if any
12. **Repair History-Nature of Repair/Amount** – the nature of repair (specify nature of minor or major repair, i.e., rewiring, engine overhaul, etc.) and the cost of repair

C. Transactions shall be posted from the source documents.

D. The SPLC shall be reconciled with the RPCSP, SPC and the control accounts. Any discrepancies shall be immediately verified and adjusted.

NEW ACCOUNTS TO BE USED

I. List of New Accounts

ACCOUNT CODE				ACCOUNT TITLE
1	**Assets**			
	04	**Inventories**		
		05	**Semi-Expendable Machinery and Equipment**	
1	04	05	010	Semi-Expendable Machinery
1	04	05	020	Semi-Expendable Office Equipment
1	04	05	030	Semi-Expendable Information and Communications Technology Equipment
1	04	05	040	Semi-Expendable Agricultural and Forestry Equipment
1	04	05	050	Semi-Expendable Marine and Fishery Equipment
1	04	05	060	Semi-Expendable Airport Equipment
1	04	05	070	Semi-Expendable Communications Equipment
1	04	05	080	Semi-Expendable Disaster Response and Rescue Equipment
1	04	05	090	Semi-Expendable Military, Police and Security Equipment
1	04	05	100	Semi-Expendable Medical, Dental and Laboratory Equipment
1	04	05	110	Semi-Expendable Printing Equipment
1	04	05	120	Semi-Expendable Sports Equipment
1	04	05	130	Semi-Expendable Technical and Scientific Equipment
1	04	05	140	Semi-Expendable Construction Equipment
1	04	05	990	Semi-Expendable Other Machinery and Equipment
		06	**Semi-Expendable Furniture, Fixtures and Books**	
1	04	06	010	Semi-Expendable Furniture and Fixtures
1	04	06	020	Semi-Expendable Books
5	**Expenses**			
	02	**Maintenance and Other Operating Expenses**		
		03	**Supplies and Materials Expenses**	
5	02	03	210	Semi-Expendable Machinery and Equipment Expenses
5	02	03	220	Semi-Expendable Furniture, Fixtures and Books Expenses
		13	**Repairs and Maintenance**	
5	02	13	210	Repairs and Maintenance-Semi-Expendable Machinery and Equipment
5	02	13	220	Repairs and Maintenance-Semi-Expendable Furniture, Fixtures and Books

II. Description of New Accounts

1 ASSETS

1 Assets
04 Inventories
05 Semi-Expendable Machinery and Equipment

Account Title	Semi-Expendable Machinery
Account Code	10405010
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired machinery costing less than the prescribed capitalization threshold for PPE, for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Office Equipment
Account Code	10405020
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired office equipment costing less than the prescribed capitalization threshold for PPE, for use in government operations. This includes small tangible items like calculators, typewriters, punchers, staplers, shredders, and other similar items for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Information and Communications Technology Equipment
Account Code	10405030
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired information and communications technology equipment, which includes laptops, printers, scanners, and the like, costing less than the prescribed capitalization threshold for PPE, for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Agricultural and Forestry Equipment
Account Code	10405040
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired agricultural and forestry equipment costing less than the prescribed capitalization threshold for PPE, for use in government operations. It includes threshing and milling machines, plow, grass cutting machines, power saw, and other similar items for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Marine and Fishery Equipment
Account Code	10405050
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired marine and fishery equipment costing less than the prescribed capitalization threshold for PPE, for use in government operations. It includes fishnets, fishing rods, fish traps, floats and other similar items for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Airport Equipment
Account Code	10405060
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired airport equipment costing less than the prescribed capitalization threshold for PPE, for use in government operations. It includes luggage carts, chocks, and the like. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Communications Equipment
Account Code	10405070
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired communications equipment costing less than the prescribed capitalization threshold for PPE, for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Disaster Response and Rescue Equipment
Account Code	10405080
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired disaster response and rescue equipment costing less than the prescribed capitalization threshold for PPE, for use in disaster response and rescue activities. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Military, Police and Security Equipment
Account Code	10405090
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired military, police and security equipment costing less than the prescribed capitalization threshold for PPE, for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Medical, Dental and Laboratory Equipment
Account Code	10405100
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired medical, dental and laboratory equipment costing less than the prescribed capitalization threshold for PPE, for use in the delivery of medical, dental and laboratory services. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Printing Equipment
Account Code	10405110
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired printing equipment costing less than the prescribed capitalization threshold for PPE, for use in government printing needs. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Sports Equipment
Account Code	10405120
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired sports equipment costing less than the prescribed capitalization threshold for PPE, for use in the government's promotion of sports, such as: treadmills, stationary bikes, weights, gymnastic facilities, basketball goals and the like. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Technical and Scientific Equipment
Account Code	10405130
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired technical and scientific equipment costing less than the prescribed capitalization threshold for PPE, for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title	Semi-Expendable Construction Equipment
Account Code	10405140
Normal Balance	Debit
Description	This account is debited to recognize the cost of the purchased/acquired construction equipment costing less than the prescribed capitalization threshold for PPE, for use in government operations, such as: shovel, wheel barrow, electric drills, hammers and the like. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title Semi-Expendable Other Machinery and Equipment
Account Code 10405990
Normal Balance Debit
Description This account is debited to recognize the cost of the purchased/acquired equipment costing less than the prescribed capitalization threshold for PPE, not otherwise classified under the specific semi-expendable machinery and equipment accounts. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

06 Semi-Expendable Furniture, Fixtures and Books

Account Title Semi-Expendable Furniture and Fixtures
Account Code 10406010
Normal Balance Debit
Description This account is debited to recognize the cost of the purchased/acquired furniture and fixtures costing less than the prescribed capitalization threshold for PPE, for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

Account Title Semi-Expendable Books
Account Code 10406020
Normal Balance Debit
Description This account is debited to recognize the cost of the purchased/acquired books and other reference materials costing less than the prescribed capitalization threshold for PPE, for use in government operations. This account is credited upon issuance to end-users, impairment, transfer, loss, or other disposal, among others.

5 EXPENSES

5 Expenses
02 Maintenance and Other Operating Expenses
03 Supplies and Materials Expenses

Account Title Semi-Expendable Machinery and Equipment Expenses
Account Code 50203210
Normal Balance Debit
Description This account is debited to recognize the cost of semi-expendable machinery and equipment used in LGU operations. This account is credited, at year end, to close to the Income and Expense Summary account, among others.

Subsidiary Ledgers:
01 – Machinery
02 – Office Equipment
03 – Information and Communications Technology Equipment
04 – Agricultural and Forestry Equipment

05 – Marine and Fishery Equipment
06 – Airport Equipment
07 – Communications Equipment
08 – Disaster Response and Rescue Equipment
09 – Military, Police and Security Equipment
10 – Medical, Dental and Laboratory Equipment
11 – Printing Equipment
12 – Sports Equipment
13 – Technical and Scientific Equipment
14 – Construction Equipment
99 – Other Machinery and Equipment

Account Title	Semi-Expendable Furniture, Fixtures and Books Expenses
Account Code	50203220
Normal Balance	Debit
Description	This account is debited to recognize the cost of semi-expendable furniture, fixtures and books used in LGU operations. This account is credited, at year end, to close to the Income and Expense Summary account, among others.

Subsidiary Ledgers:
01 – Furniture and Fixtures
02 – Books

13 Repairs and Maintenance

Account Title	Repairs and Maintenance-Semi-Expendable Machinery and Equipment
Account Code	50213210
Normal Balance	Debit
Description	This account is debited to recognize the cost of the day-to-day servicing/repairs and maintenance of semi-expendable machinery and equipment. This account is credited, at year end, to close to the Income and Expense Summary account, among others.

Subsidiary Ledgers:
01 – Machinery
02 – Office Equipment
03 – Information and Communications Technology Equipment
04 – Agricultural and Forestry Equipment
05 – Marine and Fishery Equipment
06 – Airport Equipment
07 – Communications Equipment
08 – Disaster Response and Rescue Equipment
09 – Military, Police and Security Equipment
10 – Medical, Dental and Laboratory Equipment
11 – Printing Equipment
12 – Sports Equipment
13 – Technical and Scientific Equipment
14 – Construction Equipment
99 – Other Machinery and Equipment

Account Title	Repairs and Maintenance-Semi-Expendable Furniture, Fixtures and Books
Account Code	50213220
Normal Balance	Debit
Description	This account is debited to recognize the cost of the day-to-day servicing/repairs and maintenance of semi-expendable furniture, fixtures and books. This account is credited, at year end, to close to the Income and Expense Summary account, among others.

Subsidiary Ledgers:

01 – Furniture and Fixtures
02 – Books

Illustrative Accounting Entries for Local Government Units

Assumption:

Acquisition Cost of Machinery	₱49,000.00
Less : Accumulated Depreciation	9,800.00
Accumulated Impairment Losses	10,000.00
Net Carrying Amount/Value	₱29,200.00

CASE 1: Tangible items below ₱50,000.00 acquired prior to CY 2024 previously classified as PPE which are available for use and still in custody of the Supply and/or Property Division/Unit

a. Reclassification of machinery to semi-expendable property

Account Title	Account Code	Debit	Credit
Semi-Expendable Machinery	10405010	₱49,000.00	
Machinery	10705010		₱49,000.00
To recognize reclassification of machinery to semi-expendable property.			

b. Closing of previously recognized accumulated depreciation

Account Title	Account Code	Debit	Credit
Accumulated Depreciation-Machinery	10705011	₱9,800.00	
Prior Period Adjustment	30101020		₱9,800.00
To close previously recognized accumulated depreciation.			

c. Closing of previously recognized accumulated impairment losses

Account Title	Account Code	Debit	Credit
Accumulated Impairment Losses-Machinery	10705012	₱10,000.00	
Prior Period Adjustment	30101020		₱10,000.00
To close previously recognized accumulated impairment losses.			

d. Compound Entry – summary of the foregoing accounting entries

Account Title	Account Code	Debit	Credit
Semi-Expendable Machinery	10405010	₱49,000.00	
Accumulated Depreciation-Machinery	10705011	9,800.00	
Accumulated Impairment Losses-Machinery	10705012	10,000.00	
Machinery	10705010		₱49,000.00
Prior Period Adjustment	30101020		19,800.00
To recognize reclassification of machinery to semi-expendable property due to change in accounting policy on capitalization threshold for PPE.			

CASE 2: Tangible items below ₱50,000.00 acquired and issued prior to CY 2024 and previously classified as PPE

a. Derecognition of issued machinery

Account Title	Account Code	Debit	Credit
Prior Period Adjustment	30101020	₱49,000.00	
Machinery	10705010		₱49,000.00
To derecognize the issued semi-expendable machinery.			

b. Closing of previously recognized accumulated depreciation

Account Title	Account Code	Debit	Credit
Accumulated Depreciation-Machinery	10705011	₱9,800.00	
Prior Period Adjustment	30101020		₱9,800.00
To close previously recognized accumulated depreciation.			

c. Closing of previously recognized accumulated impairment losses

Account Title	Account Code	Debit	Credit
Accumulated Impairment Losses-Machinery	10705012	₱10,000.00	
Prior Period Adjustment	30101020		₱10,000.00
To close previously recognized accumulated impairment losses.			

d. Compound Entry – summary of the foregoing accounting entries

Account Title	Account Code	Debit	Credit
Prior Period Adjustment	30101020	₱29,200.00	
Accumulated Depreciation-Machinery	10705011	9,800.00	
Accumulated Impairment Losses-Machinery	10705012	10,000.00	
Machinery	10705010		₱49,000.00
To recognize adjustments due to change in accounting policy on capitalization threshold.			

CASE 3: Tangible items below ₱50,000.00 acquired prior to CY 2024 and issued in CY 2024

a. Reclassification of machinery to semi-expendable property

Account Title	Account Code	Debit	Credit
Semi-Expendable Machinery	10405010	₱49,000.00	
Machinery	10705010		₱49,000.00
To recognize reclassification of machinery to semi-expendable property.			

b. Closing of previously recognized accumulated depreciation

Account Title	Account Code	Debit	Credit
Accumulated Depreciation-Machinery	10705011	₱9,800.00	
Prior Period Adjustment	30101020		₱9,800.00
To close previously recognized accumulated depreciation.			

c. Closing of previously recognized accumulated impairment losses

Account Title	Account Code	Debit	Credit
Accumulated Impairment Losses-Machinery	10705012	₱10,000.00	
Prior Period Adjustment	30101020		₱10,000.00
To close previously recognized accumulated impairment losses.			

d. Issuance of Semi-Expendable Property

Account Title	Account Code	Debit	Credit
Semi-Expendable Machinery and Equipment Expenses 01 – Machinery	50203210	₱49,000.00	
Semi-Expendable Machinery	10405010		₱49,000.00
To recognize issuance of semi-expendable machinery.			

e. Compound Entry – summary of the foregoing accounting entries

Account Title	Account Code	Debit	Credit
Semi-Expendable Machinery and Equipment Expenses 01 – Machinery	50203210	₱49,000.00	
Accumulated Depreciation-Machinery	10705011	9,800.00	
Accumulated Impairment Losses-Machinery	10705012	10,000.00	
Machinery	10705010		₱49,000.00
Prior Period Adjustment	30101020		19,800.00
To recognize adjustments due to change in accounting policy on capitalization threshold for PPE.			

CASE 4: Tangible items below ₱50,000.00 acquired and issued in CY 2024

a. Recognition of acquired semi-expendable property

Account Title	Account Code	Debit	Credit
Semi-Expendable Machinery	10405010	₱49,000.00	
Cash in Bank–Local Currency, Current Account	10102010		₱49,000.00
To recognize acquisition of semi-expendable machinery.			

b. Issuance of machinery to end-user

Account Title	Account Code	Debit	Credit
Semi-Expendable Machinery and Equipment Expenses 01 – Machinery	50203210	₱49,000.00	
Semi-Expendable Machinery	10405010		₱49,000.00
To recognize the issuance of semi-expendable machinery.			